

Annual Equivalent method

In annual equivalent method we have to convert all the factors into A producer will check the profitability annually.

$$NAW = - AW_{\text{outflows}} + AW_{\text{inflows}}$$

$$NAW > 0 \quad (\text{Accepted})$$

$$NAW < 0 \quad (\text{Rejected})$$

$$NAW = 0 \quad (\text{Remain Indifferent})$$

A Company is planning to purchase a machine to do diff manufacture of given quotation

Down payment	Yearly equal Installments	No. of Installments
5,00,000	2,00,000	15
4,00,000	3,00,000	15

Select the best alternative by annual Equivalent method with $i = 20\%$.